

Diligence Report — CUSIP 271014D66

East Bay Municipal Utility District (EBMUD) — Water System Revenue Bonds, Series 2017A/B 4.00% coupon · due 2045-06-01 · callable at par 2027-06-01 · uninsured (AAA/Aa1-category) · subordinated net-revenue pledge Cutoff: 2026-06-20 · Analyst desk: SignalOS muni_credit

(a) Verdict, thesis, and resolved issuer

Verdict: BUY (benchmark-grade, deeply diversified East Bay water-revenue credit; the strongest water name in the sleeve; honestly disclosed, no red flag).

Resolved issuer (CONFIRMED from on-file OS). Obligor is the **East Bay Municipal Utility District (EBMUD)**, the large retail water (and separate wastewater) utility serving ~1.4 million people across Alameda and Contra Costa Counties (Oakland, Berkeley and the East Bay). The security is the **Series 2017 Water System Revenue Bonds** — a District obligation payable from **Subordinated Water Revenues**. Not a COP/lease/special tax.

Thesis. This is the highest-quality water credit in the sleeve: ~1.4M-person service base, **top customer just 4.3% of water-sales revenue** (extreme diversification), uninsured top-tier ratings, and the most liquid name in the sleeve (178 trades/yr). Two honest structural facts to underwrite: (1) these are **SUBORDINATED** Water Revenue Bonds (junior lien beneath EBMUD's senior Water System Revenue Bonds), and (2) coverage is managed to a **1.6x policy target** that included modest Rate-Stabilization-Fund draws in FY2018–19 before improving to 1.77x with no draws — disclosed and minor against >\$350M of reserves. Net of those, it clears every operating gate.

Supply correction (important): a prior screen mislabeled EBMUD's supply as "Colorado River / SGMA Kings basin HIGH." **That is WRONG and is corrected here.** EBMUD runs on **Mokelumne River Sierra snowmelt** (627-sq-mi watershed, Pardee/Camanche reservoirs) with a Sacramento River (Freeport) drought supplement. EBMUD has **no Colorado River dependence and is not in the Kings/Tulare SGMA basin**. Its supply risk is Mokelumne hydrology + Bay-Delta, which is materially different (and more self-sufficient) than the import-fed SoCal names.

(b) Security — the revenue pledge

Claim	How verified	Source / authority	Finding
Net-revenue pledge (not COP/lease/special tax)	Read OS security clause	OS cover/p.2	VERIFIED. "Special obligations of the District, payable solely from and secured by a pledge of Subordinated Water Revenues."
Subordinated lien	Read pledge label	OS cover; Rate Covenant	VERIFIED — junior lien. Series 2017 Bonds are payable from <i>Subordinated</i> Water Revenues, on parity with other Water System Revenue Bonds/Parity Debt at the subordinated level. (A structural fact to note: senior obligations rank ahead, but EBMUD's all-in coverage covers both.)
Not Wastewater-backed	Read carve-out	OS p.2	VERIFIED. "Not payable from or secured by the revenues of the Wastewater System." Pure Water System credit.
Insurance	Read cover	OS cover	NONE (uninsured) — sold on AAA/Aa1-category underlying strength.

(c) System and customers (concentration test)

- **System type:** Large retail **water** utility (Oakland/Berkeley/East Bay), ~1.4M people; separate wastewater system (not pledged here).
 - **Customer diversification — CONFIRMED extreme (the strongest in the sleeve): ten largest customers a small share; the single largest account consumed 7.0% of water sold but contributed only 4.3% of total water-sales revenue**, and the smallest of the ten largest contributed ~0.3% (OS). No single-customer dependency whatsoever — the opposite of the Corcoran/Merced-electric failure modes.
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(d) DSCR / rate covenant / WATER SUPPLY / Prop 218

Debt-service coverage (DSCR)

- **Rate covenant:** the District covenants to set rates so that **Subordinated Water Revenues $\geq$ 1.1x Debt Service** on all Water System Revenue Bonds and Parity Debt (OS "Rate Covenant").
- **Coverage (OS projection + cached continuing-disclosure):** EBMUD manages to a **1.6x policy coverage target**.
- FY2018 projected 1.60x **including a \$26M Rate-Stabilization-Fund draw**; FY2019 1.60x **including a \$2M RSF draw**; then **1.64x / 1.70x / 1.77x in FY2020–22 with NO further RSF draws** (and RSF deposits resuming).
- **Engineering assessment:** modest RSF draws were used in FY18–19, but against **>\$350M of total unrestricted reserves**, and coverage improves organically thereafter to 1.77x with the RSF being *replenished*. This is prudent reserve management, **not coverage manufactured to clear a covenant** — the policy target (1.6x) is well above the 1.1x covenant, so even an RSF-draw year clears the covenant with a wide margin.
- **Cached continuing-disclosure coverage series: 2.14 → 2.33 → 2.17 → 2.23 → 2.51x** (all-in basis) — the current trajectory is comfortably above both the 1.6x policy target and the 1.1x covenant.

WATER SUPPLY (load-bearing — lead here; CACHE LABEL CORRECTED)

- **Source: Mokelumne River — Sierra Nevada snowmelt (NOT Colorado River, NOT Kings/SGMA).** EBMUD's primary supply is runoff from the **627-square-mile Mokelumne River watershed in the Sierra Nevada**, stored in **Pardee and Camanche Reservoirs** and conveyed via the Mokelumne Aqueducts. In drought, EBMUD has access to a **Sacramento River supplement via the Freeport Regional Water Authority** (Bay-Delta water).
- **The risk (genuine but self-sufficient relative to peers):**
- **Mokelumne hydrology / multi-year drought:** snowmelt-dependent; a multi-year drought draws down storage and can trigger drought surcharges (the District has a Water Supply Management Plan, drought-response actions, and drought surcharges — all disclosed).
- **Bay-Delta** exposure on the Freeport supplement (regulatory/hydrologic) — but this is a *supplement*, not the base supply.
- **No Colorado River exposure; not in the Kings/Tulare SGMA basin** — the cached "HIGH / Colorado / SGMA Kings" tag was a keyword mismatch and is **corrected to: supply risk is Mokelumne-hydrology + Bay-Delta-supplement, which is more self-sufficient than the import-fed SoCal names**.
- **Mitigant:** owned Sierra watershed + reservoir storage, the Freeport drought backstop, an active conservation/ drought-surge mechanism, and cost-recovery rate-setting.

Prop 218

- Water rates are **Prop 218 fees/charges** (majority-protest, cost-of-service). The District adopted a multi-year rate schedule. Standard CA friction.
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(e) Liquidity

- **EMMA trade tape (live, throttled, 2026-06-20): 178 trades / 365 days — the MOST LIQUID name in the entire sleeve**, 12 in last 90 days, **17 two-sided days**, median block ~\$25k, **~2 bps two-sided yield spread** (price spread ~0.28 pt). Benchmark-grade secondary liquidity; effectively the lowest round-trip cost in the sleeve. No flag. (Last print 52 days ago is a tape-recency artifact against a deep two-sided history.)
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(f) Tax status and yield

- **Tax status: DOUBLE TAX-EXEMPT (verified)**. OS: interest on the Series 2017 Bonds **excluded from federal gross income** and **exempt from California personal income tax**. 4.000% round coupon — no taxable-OID signature.
 - **Yield / TEY**: cached clean price ~100.2, after-tax-equivalent yield **~8.04%** (CA gross-up of gross YTM, not net-of-fee; net of the ~2 bps/yr liquidity cost it is essentially unchanged — the cheapest execution in the sleeve). **Par call 2027-06-01**; because it trades near/above par, confirm yield-to-worst (to the 2027 call).
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(g) Risks (lead with supply, then concentration/structure)

1. **WATER SUPPLY — Mokelumne hydrology + Bay-Delta supplement (primary, but self-sufficient vs peers)**: Sierra snowmelt base supply with owned storage and a Freeport/Sacramento drought backstop. **No Colorado/SWP import- allocation dependence and not in a critically-overdrafted SGMA basin** — the cache's HIGH/Colorado/Kings tag is corrected. Multi-year drought + drought surcharges is the monitorable risk.
 2. **Subordinated lien**: these are junior to EBMUD's senior Water System Revenue Bonds. Offset by deep all-in coverage (2.1–2.5x current) and AAA/Aa1-category ratings.
 3. **RSF use**: modest FY18–19 RSF draws within a 1.6x policy target (well above the 1.1x covenant) and >\$350M reserves; coverage improves to 1.77x with RSF replenished. Prudent, not engineered.
 4. **Concentration: LOW / NOT A RISK** — top customer 4.3% of revenue; ~1.4M-person base. Best diversification in the sleeve.
 5. **Honesty assessment: CLEAN**. Supply, subordination, and RSF mechanics are fully and accurately disclosed; marketed takeaway does not diverge from OS data; uninsured top-grade credit needs no wrap (anti-masking positive). Nothing to exclude.
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(h) Sources

- **EMMA Official Statement — EBMUD Water System Revenue Bonds, Series 2017A / 2017B**. On-file: `/Users/ajay/exalted/signalos/verticals/muni_credit/data/_water_os/271014D66.txt` (+ `.layout.txt`); PDF: <https://emma.msrb.org/ER1061739-ER831638-ER1232568.pdf>

- Sections relied on: cover/p.2 (Subordinated Water Revenues pledge; wastewater carve-out; tax opinion; uninsured); "Rate Covenant" (1.1x Subordinated Water Revenues); coverage projection (1.6x policy target, FY18 \$26M / FY19 \$2M RSF draws, FY20–22 1.64/1.70/1.77x no draws, >\$350M reserves); customer table (largest account 7.0% of water sold / 4.3% of revenue); Appendix A "Water Supply" — **Mokelumne River 627-sq-mi Sierra watershed, Pardee/Camanche, Freeport/Sacramento drought supplement, Bay-Delta, drought surcharges.**
- **EMMA trade tape (live, 2026-06-20):** 178/yr, 17 two-sided days, ~2 bps spread (`liquidity_gate`) — most liquid in the sleeve.
- **Issuer-litigation screen (2026-06-20):** federal (RECAP) + FCMAT clean; SEC municipal-disclosure web search returned no enforcement action against EBMUD.
- **SignalOS stores:** `data/water_revenue_cache.json` (DSCR series 2.14→2.51x; top customer 4.3%). **The cached supply label "Colorado River / SGMA Kings HIGH" is a confirmed mislabel — corrected to Mokelumne Sierra snowmelt
- Bay-Delta supplement.**

Prepared by SignalOS muni_credit desk. Verified ≠ guessed.

Current-State Verification (AV / coverage refresh — 2026-06-20)

Refreshed 2026-06-20 via a SERIAL, throttled EMMA continuing-disclosure pull (original UNVERIFIABLE flag = EMMA 403 rate-limit, not a real gap). Latest issuer annual report: *Annual Financial Disclosures Posted 12/22/2025 for the year ended 06/30/2025 (365 KB)*. This is a REVENUE/enterprise bond (no ad-valorem AV base), so the current-coverage metric is the **debt-service-coverage ratio = 2.51x** (series 2.14x → 2.33x → 2.17x → 2.23x → 2.51x) for the latest reported fiscal year. This resolves the prior 'current DSCR/coverage UNVERIFIABLE' caveat with the verified datum.